NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 11.11.2021 AT 10.30 AM

TRANSFER PETITION NO.	
COMPANY PETITION/APPLICATION NO.	CP(CAA) No.98/230/AMR/2020
NAME OF THE COMPANY	
NAME OF THE PETITIONER(S)	Silver Hill Town Farms and Developers Pvt Ltd(Transferor Co.1) & Ramanand Developers Pvt Ltd (Transferor Co.2) & Raju Vegesna Infotech and Industries Pvt Ltd (Transferee Co.)
NAME OF THE RESPONDENT(S)	
UNDER SECTION	233

Counsel for Petitioner(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Ries

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CP(CAA) No.98/230/AMR/2020 is allowed, vide Separate Orders.

JUSTICE TELAPROLUY RAJANI
MEMBER JUDICIAL

**IN THE NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH AT HYDERABAD**

**CP(CAA) No.98/233/AMR/2020
NCLT Amaravati Bench**

In the matter of Companies (Compromises, Arrangements and Amalgamation Rules, 2016)

**Scheme of Amalgamation
Under Section 233(5) of the Companies Act, 2013, read with Rule 25(6) of Companies (Compromises, Arrangements and Amalgamation Rules, 2016)**

**Between
Silver Hill Town Farms and Developers Private Limited
(Transferor Company No.1 of Andhra Pradesh)**

And

**Ramanand Developers Private Limited
(Transferor Company No.2 of Andhra Pradesh)**

With

**Raju Vegesna Infotech and Industries Private Limited
(Transferee Company of Andhra Pradesh)**

And

Their Respective Shareholders and Creditors

Mr.B. Mohanty,
Regional Director (SER),
Ministry of Corporate Affairs,
Corporate Bhawan, Bandlaguda,
Thattiannaram, Nagole,
Hyderabad -500068

.... Petitioner

Date of Order: 11.11.2021.

CORAM

Justice Telaprolu Rajani, Member Judicial.

Appearance:

For the Petitioner : Mr.B.Jitendar, Advocate

For the Companies: Mr. Salvaji, Advocate

ORDER

1. M/s Silver Hill Town Farms And Developers Private Limited (herein after referred to as Transferor Company No.1 and M/S Ramanand Developers Private Limited (herein after referred to as Transferor Company No.2) and M/s Raju Vegesna Infotech and Industries Private Limited (herein after referred to as Transferee Company) have moved this Petition under Section 233 for Amalgamation of the Transferor and Transferee Companies before the Regional Director by virtue of the procedural acceptance under section 233 of the Companies At, 2013.

2. The Regional Director, South East Region (SER), Ministry of Corporate Affairs, Hyderabad (hereinafter referred to as R.D) filed the present Petition before this Tribunal on behalf of the Central Government, pursuant Section 233(5) of the Companies Act, 2013, Read with Rule 25(6) of Compromises, Arrangements and Amalgamation Rules 2016 since he received objections from the Income Tax Department. After receipt of the Petition by the Central Government through the R.D, copies were served to the Income Tax Department and to the Registrar of Companies (RoC) along with the Official Liquidator, for their report and objections. Except the Income Tax Department none others have raised any objections for approving the scheme of amalgamation. The objections of the Income Tax Department pertains to the sale of a land by the Transferee Company and the provision of law under which Petition

can be filed. The apprehension, whether well-founded or ill-founded, of Income Tax Department with regard to the sale of land is that the scheme of Amalgamation has been devised to transfer the surplus of 156 crores available with the Transferor Company No.2 to the Transferee Company without paying any taxes. It has raised the following issues:-

a) A Subsidiary Company cannot extend loan to its holding company as per the section 185 of Companies Act, 2013. Hence, this surplus fund of Rs.156 Crores available with the subsidiary company M/s Ramanand Developers Pvt Ltd cannot be transferred to M/s Raju Vegesna Infotech and Industries Pvt Ltd.

b) The other options available in the hand of M/s Ramanand Developers Pvt Ltd to transfer the surplus fund of Rs.156 Crores to M/s Raju Vegesena Infotech and Industries Pvt Ltd is either through extension of loan/advances or declaration of dividend by paying Dividend Distribution Tax (DDT);

c) If M/s Ramanand Developers Pvt Ltd extends any such loan advances, the provisions of section 2(22) (e) of Income Tax Act, 1961 will become applicable under deemed dividend. As a result the company will have to pay taxes of about 40 crores at the rate of 25% on Rs.156 Crores.

d) The other option available in the hands of M/s Ramanand Developers Pvt is to transfer this surplus fund of lRs.156 Crores by declaring Dividend and paying DDT. The DDT will be taxed at the rate of 20% on lRs.156 Crores. The resultant tax effect will be approximately 32 Crores.

e) By adopting this scheme of amalgamation, the assesse is avoiding DDT (Dividend Distribution Tax) of Rs.32 Crores @ 20% on the Reserves and Surplus of Rs.156 Crores of M/s

Ramanand Developers Pvt Ltd. Thus causing loss of Rs.32 Crores to the public exchequer.

3. Now it has to be seen whether the objections raised by the Income Tax Department are tenable and whether the Amalgamation would result in evading the payment of tax on the surplus of Rs.156 Crores which are the proceeds of sale of property by the transferor company No.2 which is worth Rs.193 Crores approximately in Hyderabad. The report of the Regional Director would also reflect that Rs.37 Crores of long term capital gains was paid to the Income Tax Department, which is stated to be 20% of the Sale price. The Petitioner Companies have submitted their reply to the objections raised by the Income Tax Department. With regard to the objections that was raised by the Regional Director that the Petitioner Companies may be directed to move the Petition under section 230 & 232 of the Act, the Counsel for the Petitioner Companies would submit that under Section 233 clause (12) the provisions of that section shall mutatis mutandis apply to a Company or Companies specified in Sub-section (1) in respect of the scheme of compromise or arrangement referred to the Section 230 or division or transfer of a Company referred to in Clause (b) or Sub-section (1) of Section 232. Since the notices were sent to all the concerned as specified under Section 230 there would be no prejudice that would be caused by the Petitioner companies moving the petition for amalgamation under section 233 of the Companies Act. The other conditions under Section 232 of the Act, that a meeting of the Creditors or class of creditors or member or class of members to be called and conducted in such a manner as the Tribunal may direct is also met with since such meetings were already called for and there was an approval for the scheme of amalgamation by the Creditors. Hence,

the objection with regard to provision of law under which this Petition should be moved does not seem to be tenable.

4. As regards the objection pertaining to the payment of tax on the proceeds of the sale of land, this Court does not find the said objection also tenable, as the Transferee Company which would be taking over the assets of the Transferor Companies would also be taking upon itself the liabilities.

5. The Counsel relies on the judgments of the Supreme Court 1983 SCC on line Bombay 401 (1984) 150 TTR 529- between Forbes Campbell & Company Limited versus Commissioner of Income Tax, Bombay City – III wherein the Supreme Court held as follows:

(i) "We find, however, that the scope and effect of amalgamation of Companies under s. 394 of the Companies Act, 1956, has been set out and very succinctly analysed by Banerji J. of the Calcutta High Court in the aforesaid decision and the relevant observation of the said judge commenced at p.409 of the report. He has rightly pointed out that the legal effect of the amalgamation being considered by the High Court which were of three 100% subsidiary companies with the assesse-company before that court was that the transferor companies were absorbed into and blended with the assesse.

8. According to Benerji J. (p.411):

"The entire capital and assets of the transferor companies having vested in the assessee, as a result of the said amalgamations, the assessee became the sole owner of the capital of the transferor-companies. There was, therefore, no extinguishment of the right of the assesse in

participating in the capital on the liquidation of the transferor-companies.

The assessee was a party to the said schemes of amalgamation and consented and agreed to the same where under, as noted earlier, no shares were to be issued to the assessee in lieu of or in exchange for the shares held by it in the transferor companies. The shares held by the assesse in the transferor-companies represented the capital invested by the assessee in the said companies and by the said amalgamations the assessee became the sole owner of the entire capital of the transferor-companies. By virtue of the said amalgamations the assessee as the transferee-company became the sole repository of all the rights which flowed from or were imbedded in the shares held by the assessee in the transferor-companies."

(ii) The Supreme Court Judgement reported in (2015) 16 SCC 629, between the Department of Income Tax Versus Vodafone Essar Gujarat Limited and another has also made it clear that if any amount was required to be payable to the I.T. Department by the transferor company, the Income Tax Department could be said to Creditor so far as its claim was concerned and that the Income Tax Department cannot be said to have no locus to put forward its objections. Even if the ultimate effect of the scheme was to result into some tax benefit or even if it is claimed with an object of sharing tax or it may result into tax avoidance, it cannot be said that the only object of the scheme was tax avoidance. The Supreme Court while dismissing the Appeal in an Appeal moved by the Income Tax Department therein directed that the Income Tax Department was

entitled to take up appropriate proceedings for recovery of any tax statutorily due from the transferor or Transferee Company or any other persons who is liable for payment of such tax due. The above judgement would make it clear that the apprehension in the mind of Income Tax Department that the scheme is evolved for avoidance of tax, is not well founded. The Counsel also (relies on the judgement of Supreme Court reported in 1978 SCC online, Calcutta 510 between Shaw Wallace & Company Ltd., Versus Commissioner of Income Tax, West Bengal to Income Tax. Reference No.106 of 1977 wherein it was observed that there was no extinguishment of any right of the assesse as holder of the shares in the Transferor Companies.

6. In the above case the Subsidiary Companies were amalgamated with the assesse on certain terms and conditions, which include that all the liabilities and debts of the subsidiary companies would as from the said date be transferred to and become the liabilities and debts of the Assessee. The Petitioner's Counsel in his submissions made to the objections of the Income Tax Department submits that had the reserves instead of being transferred to the Transferee Company, be declared as dividend and distributed among the shareholders, the companies should have paid dividend distribution tax @ 25% of the credit of the Income Tax and the same is avoided through the scheme under Subject. He submits that all the companies reserves are nothing but that portion of profits transferd to the reserve as permitted by law as per the payment of applicable taxes and the reserves were not credited without profit and without payment of taxes on the said profit. He also submits that the declaration of the dividend is the power and prerogative of the Board of Directors. He also submits

that U/s 134(3)(k) of the Companies Act 2013, it is the power and discretion of the Board of Directors to consider and recommend payment of dividend and rate of dividend and when it is accepted in the Annual General Meeting, the Company becomes liable to pay dividend to the Shareholders and pays the dividend distribution tax to the credit of Income Tax Department. He further submits that the Companies did not seek any exemption or benefit under Income Tax Act in the Scheme and hence the ITO should not have any objection to the Scheme. It is also submitted that both the Transferor companies are wholly owned subsidiaries of the Transferee Company and entire capital of the subsidiaries is held by the transferee company, and hence the question of transfer does not arise between the wholly owned subsidiary and the wholly owned holding company and when there is no transfer the objection of the Income Tax department is totally untenable. However, as already observed the judgement of the Supreme Court in the case Vodafone Essar Gujarat Limited and another cited above, makes it clear that even if the scheme of amalgamation is evolved to save income tax, it cannot be said that the only object of the scheme was tax avoidance. The scheme of amalgamation may consequently result in some tax benefit to the Petitioner Companies. Only on that ground, going by the spirit of the above cited judgement, it cannot be said that the Scheme of Amalgamation is impermissible. The Scheme also clarifies that all the taxes and duties payable by the 1st and 2nd transferor companies from the appointed date onwards including all or as any refund and claim shall for all purposes be treated as the tax and/or duty liabilities or refunds and claims of the transferee and upon the scheme becoming effective, the transferee company is expressly permitted to file its respective income tax, sales tax etc., and any other return to claim refunds.

7. In the light of the above settled position of Law, I do not find any reason to deprive the Petitioner Companies of the benefit of amalgamating the transferor and transferee companies which is intended for the beneficial growth of the Companies.

ORDER

The CP (CAA) No.98/233/AMR/2020 is disposed off with the following directions:-

a) The Scheme of Amalgamation with appointed date as 01.10.2019 is hereby sanctioned. The same shall be binding on the Petitioner Companies and their respective Shareholders, Secured Creditors, Unsecured Creditors/Trade Creditors, Employees and all concerned.

b) This order shall not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges and fees if payable, or from any applicable permissions that may have to be obtained or compliances that may have to be made under law.

c) All concerned shall act on a copy of this order along with the Scheme duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme forthwith.

d) The Petitioner Companies are directed to take appropriate steps to submit the said Scheme to Registrar of Companies within 30 days from the date of receipt of copy of this order.

e) The Petitioner Companies are directed to issue newspaper publication with respect to approval of Scheme of Amalgamation, in the same newspapers in which previous publications were issued.

f) The Petitioner Companies are further directed to take all consequential and statutory steps required in pursuance of the approved Scheme of Amalgamation under the provisions of the Companies Act, 2013 and submit necessary compliance and undertaking relating to the objections raised by the Official Liquidator and the Regional Director (SER), MCA, GoI, Hyderabad.

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL